Testahil — Air Arabia PJSC (DFM: AIRARABIA)

Companion model · Independent Valuation Study · Educational analysis · Not investment advice

What this workbook is. A transparent companion to the Air Arabia valuation study. Every blue cell is an input; every black cell is a formula; green cells link across sheets.

IT IS FORMULA-DRIVEN. Every figure that can be derived arithmetically from a driver is a live formula, s you can change a blue cell on Assumptions and watch the model reprice: the cost of capital is built from the dirham government-bond yield net of the sovereign spread, beta and the premium rather than pasted; discount factors compound from the cost-of-debt glide; revenue is passengers times revenue per passenge the cost stack is passengers times cost per passenger, line by line; and the income statement, balance sheet, cash flow, ratios and all four lenses chain off the same cells.

THREE THINGS ARE PASTED VALUES, and it is worth knowing exactly which. First, audited and disclose history — the primary record, not a calculation; where a line is both disclosed and derivable the DISCLOSED figure is carried. Second, the unit build's disclosed bases: FY2025 passengers, the per-passenger revenue and cost rates, and the FY2025 revenue-line levels are pasted from the audited disclosures and grown on their own drivers — the build itself is live formula from there. Third, whole-model re-runs, where each figure is a complete revaluation of the entire model and so cannot be a single formula: the Monte Carlo price map, the sensitivity grids, the DCF scenario bear/bull bounds, the high-fuel alternative valuation, and the expert-panel legs. Everything else — every lens base value, the joint-venture bridge on both framings, and the anchor-date roll — is a live formula. Changing a driver reprices the model but does NOT redraw the engine outputs.

How revenue is built. Not as one growth rate. Passenger and baggage revenue is passengers times revenu per passenger; ancillary revenue is passengers times an ancillary rate; cargo, service, hotel and aircraft-lease income grow on their own paths. Costs are built the same way: fuel, staff, maintenance, landing, handling and other costs are each per-passenger rates with their OWN escalator (fuel on the commodity path, staff on wages, airport charges on UAE inflation). Margins are OUTPUTS.

Two judgements are shown both ways, never averaged. The fuel path: the base case follows the official US energy-agency curve (relief from 2027); the alternative holds the airline-association high-fuel assumption. And the joint-venture network (Abu Dhabi, Egypt, Pakistan, Morocco, the new Saudi venture) the base carries it at its audited balance-sheet value of AED 363mn; the alternative capitalises its profit share at a growth multiple. Both appear on the Summary and the SOTP Bridge.

What it is not. It is not investment advice, a recommendation, or a price target. Values are model outputs shown as ranges.

Sourcing note, up front. FY2023, FY2024 and FY2025 all come from the company's own audited consolida financial statements, read from the company's investor-relations page; FY2024 comparatives are as restated in the FY2025 filing. The interim quarter is the reviewed Q1-2026 filing. Passengers, load factor and fleet come from the company's own results presentations. Every input is listed with source and date in the companion bibliography document.

Discount convention. Each explicit year is discounted at its own forward cost of capital, gliding 9.21% -> 8.67% on the same easing calendar as the cost-of-debt path; the terminal value is capitalised at the terminal rate and discounted at the year-5 cumulative factor. One date, one price of time: values are struck at 31-Dec-2025 and rolled to the 7-Aug-2026 anchor at the cost of equity, net of the AED 0.30 dividend paid inside the window.

Currency. AED million unless stated. Spot AED 5.24 (2026-08-07 close). Sheets: READ FIRST · Summary · Fundamental Valuation · Assumptions · SOTP Bridge · Segments · Relative & Normalized · DCF · Income Statement · Balance Sheet · Cash Flow · Summary Financials · Monte Carlo · Sensitivity · Per-Share & Ratios · Peer & Sector.

Summary — valuation at a glance

All values link live to their source sheets

Lens	Bear	
Discounted cash flow (primary)		0.47
Relative multiples		3.01
Normalised earnings power		2.61
Book value and sustainable return		3.18
Weighted central (range weighted like the base)		**1.81**
DCF — JV network capitalised (contested judgement, other framing)		
Weighted central on that framing		
Terminal value share of DCF enterprise value		
Expert panel median		
DCF on the high-fuel alternative (whole-model re-run)		
Widest single-lens span (the DCF scenarios) — labelled, not		0.47
Market price (7-Aug-2026 close)		

Key figure
Shares outstanding (mn)
Market capitalisation (AED mn)
Net cash incl. fixed deposits, FY2025 (AED mn)
FY2025 revenue (AED mn)
FY2025 EBITDA (AED mn)
FY2025 attributable profit (AED mn)
Cost of capital — explicit window
Cost of capital — terminal
Terminal growth

Base	Bull	Weight	Contribution
3.51	7.23	45.0%	1.58
3.60	4.19	20.0%	0.72
3.45	4.30	20.0%	0.69
4.13	4.71	15.0%	0.62
3.61	**5.66**	**100.0%**	
4.06			
3.86			
94.3%			
3.46			
1.86			
	7.23		
5.24			

Value
4,667
24,454
2,417
7,788
1,891
1,628
9.21%
8.67%
2.5%

vs spot
(33.0%)
(31.3%)
(34.1%)
(21.1%)
(31.1%)
(22.6%)
(26.4%)
(33.9%)
(64.6%)

Fundamental valuation — the four lenses and the alte

Lens
Discounted cash flow (primary)
Relative multiples
Normalised earnings power
Book value and sustainable return

Weighted central

Alternative readings (whole-model re-runs unless linked)
DCF with the JV network capitalised (the contested judgement, other
DCF on the high-fuel alternative (airline-association path held)
DCF bear scenario (high fuel + weaker traffic + tighter money)
DCF bull scenario (fuel relief + stronger traffic + JV capitalised)

Expert panel (each leg is a complete model of its own)
Expert 1 — earnings power at a justified multiple (live formula)
Expert 2 — owner cash earnings capitalised (live formula)
Expert 3 — cash returns vs the cost of capital (whole-model re-run; fu

Panel median

Columns D and E carry each expert's own low and high. The spot price on the anchor date is AED 5.24.

rnatives

Basis	AED per share
FCFF, glide-disco	**3.51**
6.5x FY2027E EB	3.60
13x mid-cycle EP:	3.45
Justified price-to	4.13
	3.61

	AED per share
framing)	4.06
	1.86
	0.47
	7.23

	AED per share		
	4.13	3.11	5.15
	2.08	1.45	2.75
ll chain in Append	3.46	2.67	4.01
	3.46		

Assumptions — every driver of the model

Blue cells are inputs. Change one and the model reprices.

Driver
Passengers (millions)
Passenger + baggage revenue per passenger (AED)
Ancillary revenue per passenger (AED)
Cargo revenue growth
Service revenue growth
Hotel revenue growth
Aircraft-lease revenue growth
Effective jet fuel price (USD/bbl) — base path
Effective jet fuel price (USD/bbl) — high-fuel alternative
Staff cost per passenger (AED)
Maintenance cost per passenger (AED)
Landing & overflying charges per passenger (AED)
Handling charges per passenger (AED)
Other direct cost per passenger (AED)
Administrative cost growth
Other-income growth
Depreciation & amortisation (AED mn)
Fleet capital expenditure incl. pre-delivery payments (AED mn)
Owned aircraft additions (units)
Leased aircraft additions (units)
Consolidated fleet, year-end (aircraft)
Booked finance-cost rate on the debt book
Debt amortisation (AED mn)
Marginal cost of debt path
Deposit yield path
Growth in the share of joint-venture and associate profit
Dividend payout ratio

Scalar driver
Selling & marketing / revenue
Working capital / revenue
Tax rate
AED government bond yield (January-2031 tranche)
Observed sovereign spread at the auction (netted out)
Rating-table sovereign spread (alternative netting, disclosed)
Beta (five-year weekly, vs the Dubai index)
Equity risk premium
Terminal risk-free rate
Terminal equity risk premium
Marginal cost of debt
Terminal cost of debt
Terminal debt weight

Terminal growth
Joint-venture capitalisation multiple
Justified EV/EBITDA
Justified price/earnings
Sustainable return on equity
Spot price (AED)
Shares outstanding (mn)
FY2025 dividend per share (AED, approved 12 March 2026)
Days from 31-Dec-2025 to the 7-Aug-2026 anchor
Fuel intensity (AED per passenger per USD/bbl of effective jet price)
Right-of-use value per leased aircraft (AED mn)
Loan drawn per owned aircraft (AED mn)
Dividend floor (AED mn = 30 fils on the full share count)
Minority interests at carrying value (AED mn, audited)
Scenario: passenger multiplier
Scenario: fare multiplier
Scenario: fuel multiplier
Scenario: capital-expenditure multiplier
Scenario: cost-of-capital shift
Scenario: high-fuel switch (0 = base path, 1 = alternative)
Cash administrative costs, FY2025 (AED mn, audited less its depreciation)
Cargo revenue, FY2025 (AED mn, disclosed)
Service revenue, FY2025 (AED mn, disclosed)
Hotel revenue, FY2025 (AED mn, disclosed)
Aircraft-lease revenue, FY2025 (AED mn, disclosed)
Other income, FY2025 (AED mn, disclosed)
Share of JV and associate profit, FY2025 (AED mn, disclosed)
Working capital, FY2025 (AED mn, audited balance sheet)
Gross debt, FY2025 (AED mn, audited)
Cash and fixed deposits, FY2025 (AED mn, audited)
Fleet assets, FY2025 (PP&E + right-of-use + aircraft advances, AED mn, audite
Intangible assets (AED mn, audited)
JV and associates at carrying value (AED mn, audited)
Non-operating assets (investments + investment property + net investment in le
Minority share of profit
Equity attributable to owners, FY2025 (AED mn, audited)
Weight — discounted cash flow
Weight — relative
Weight — normalised
Weight — book
Relative lens — bear multiple
Relative lens — bull multiple
Normalised lens — bear P/E
Normalised lens — bull P/E

FY26E	FY27E	FY28E	FY29E	FY30E
12.85	13.95	15.15	16.35	17.55
488.0	480.0	484.0	489.0	494.0
67.4	70.1	72.9	75.8	78.8
5.0%	5.0%	5.0%	5.0%	5.0%
4.0%	4.0%	4.0%	4.0%	4.0%
3.0%	3.0%	3.0%	3.0%	3.0%
10.0%	10.0%	8.0%	6.0%	5.0%
100.7	85.2	86.9	88.6	90.4
108.4	105.8	106.4	107.5	108.5
84.4	86.9	89.5	92.2	94.9
63.8	66.3	69.0	71.7	74.6
36.7	37.4	38.2	38.9	39.7
30.0	30.6	31.2	31.8	32.4
41.5	41.5	41.5	41.5	41.5
5.0%	5.0%	5.0%	5.0%	5.0%
8.0%	8.0%	8.0%	7.0%	6.0%
720	810	900	980	1,060
2,000	1,900	1,900	1,950	2,000
1	1	1	2	2
1	2	2	2	2
58	61	64	68	72
3.10%	3.30%	3.50%	3.60%	3.70%
500	520	540	560	580
5.40%	5.20%	5.10%	5.00%	5.00%
4.10%	3.80%	3.70%	3.70%	3.70%
2.0%	18.0%	18.0%	15.0%	12.0%
100.0%	90.0%	85.0%	85.0%	85.0%

Value	
	1.46%
	(64.0%)
	15.0%
	4.48%
	0.04%
	0.42%
	1.09
	4.87%
	4.00%
	4.75%
	5.50%
	5.00%
	10.0%

	2.5%
	15.00x
	6.50x
	13.00x
	18.0%
	5.24
	4,667
	0.30
	219
	1.937
	175
	150
	1,400
	1.29
	1.00
	1.00
	1.00
	1.00
	0.00%
	-
	276.2
	186.9
	223.3
	59.8
	219.8
	197.1
	190.0
	(5,186.8)
	2,781.4
	5,198.7
d)	8,670.9
	1,362.5
	363.4
ease, AED mn)	1,069.3
	0.016%
	8,408.9
	45.0%
	20.0%
	20.0%
	15.0%
	5.00x
	8.00x
	10.00x
	16.00x

SOTP / EV-to-equity bridge — both JV framings

The joint-venture network is the contested judgement: both framings shown, never av

Bridge — base framing (JV at audited carrying value)

Enterprise value of the airline (DCF)
plus net cash (cash + deposits - borrowings - leases)
plus non-operating assets
plus JV network at audited carrying value
Equity before minorities

less minorities at audited carrying value

Equity attributable to shareholders
Per share at 31-Dec-2025
Per share at the anchor — operating equity rolled at the cost of

Alternative framing (JV capitalised at a growth multiple)

JV network capitalised (multiple x FY2025 profit share)
Equity attributable on this framing
Per share at the anchor — JV capitalised

Non-operating assets, itemised (audited FY2025)

Investments at fair value through OCI
Investment property (book; disclosed fair value AED 334mn)
Net investment in lease (aircraft subleased to the JV airlines)
Total non-operating assets

The JV network: Air Arabia Abu Dhabi (49%), Air Arabia Egypt (49%, raised from 40% in 2025), Fly Jinnah (45%), Air Arabia Maroc (44.13%), Air Arabia DMM — Saudi Arabia (49%, pre-operational). FY2025 profit share AED 190.0mn; audited carrying value AED 363.4mn.

veraged.

	AED mn
	13,099
	2,417
	1,069
	363
	16,949
	1.29
	16,948
	3.63
equity, cash an	**3.51**

	AED mn
	2,850
	19,434
	4.06

	AED mn
	457.5
	277.1
	334.7
	1,069.3

Segments — the unit build, live

Revenue = passengers x rate; costs = passengers x unit cost. All formula.

Revenue build (AED mn)	**FY26E**
Passengers (millions)	12.85
Revenue per passenger — fare + baggage (AED)	488.0
Passenger and baggage revenue	6,271
Ancillary rate (AED per passenger)	67.4
Ancillary revenue	866
Cargo revenue	196.3
Service revenue	232.3
Hotel revenue	61.6
Aircraft-lease revenue (JV network)	241.7
Total revenue	**7,869**

Cost build (AED per passenger)	**FY26E**
Fuel cost per passenger (intensity x effective jet price)	195.1
Staff	84.4
Maintenance	63.8
Landing & overflying	36.7
Handling	30.0
Other direct	41.5
Cash cost per passenger	**451.5**
Direct cash operating costs (AED mn)	5,801
Administrative costs (cash)	290.0
Selling & marketing	114.9
EBITDA	**1,663**
Other income (management fees from the JV network and misc.)	212.9
EBITDA including fees and other income	**1,876**
EBITDA margin	21.1%

Disclosed history	**FY2023**
Passengers (millions)	10.11
Seat load factor	80.4%
Passenger + baggage revenue (AED mn)	n/d
Ancillary revenue (AED mn)	n/d
Fuel cost (AED mn)	1,690.6
Staff cost, direct (AED mn)	774.8
Maintenance (AED mn)	438.9
Landing & overflying (AED mn)	361.2
Handling (AED mn)	312.9

FY2023 revenue lines are on the pre-restatement basis (commissions netted); seat/ASK data is not disclosed by the company — passengers x rate is the finest disclosed level.

FY27E	FY28E	FY29E	FY30E
13.95	15.15	16.35	17.55
480.0	484.0	489.0	494.0
6,696	7,333	7,995	8,670
70.1	72.9	75.8	78.8
978	1,104	1,239	1,383
206.1	216.4	227.2	238.6
241.5	251.2	261.3	271.7
63.5	65.4	67.4	69.4
265.9	287.2	304.4	319.6
8,451	**9,257**	**10,095**	**10,952**

FY27E	FY28E	FY29E	FY30E
165.0	168.3	171.6	175.1
86.9	89.5	92.2	94.9
66.3	69.0	71.7	74.6
37.4	38.2	38.9	39.7
30.6	31.2	31.8	32.4
41.5	41.5	41.5	41.5
427.7	**437.7**	**447.7**	**458.2**
5,967	6,632	7,320	8,041
304.5	319.7	335.7	352.5
123.4	135.2	147.4	159.9
2,056	**2,171**	**2,291**	**2,398**
229.9	248.3	265.7	281.7
2,286	**2,419**	**2,557**	**2,680**
24.3%	23.4%	22.7%	21.9%

FY2024	FY2025
11.22	13.06
82.0%	85.3%
5,552.4	6,251.7
677.5	846.0
1,924.5	2,251.4
885.1	1,069.4
685.6	800.6
405.1	470.0
344.6	384.1

Relative multiples · normalised earnings · book value

Relative lens

FY2027E EBITDA EXCLUDING fees/other income (AED mn) — peer basis
Justified EV/EBITDA (peer median, primary filings)
Fee/other-income stream valued separately (after-tax annuity)
Enterprise value at end-FY2027
Year-2 discount factor
PV of FY2026-27 free cash flow
Implied value per share at the anchor (split roll)
Bear (5.0x)
Bull (8.0x)

Trailing context (formulas at spot)
EV / FY2025 EBITDA at spot — EX fees (peer basis)
Price / FY2025 earnings at spot
EV / FY2025 EBITDA at spot — INCLUDING fees (both bases published)

Normalised earnings power

Mid-cycle EBITDA margin (FY2028E)
FY2026E revenue (current scale)
Normalised EBITDA incl. fees and other income
less depreciation & amortisation
Normalised EBIT
Net finance income (FY2026E)
JV share EXCLUDED from the multiplied base (enters at book below) — the base fram
Normalised earnings per share (ex-JV)
Normalised value per share at the anchor

Bear (10x)
Bull (16x)

Book value and sustainable return

Book value per share (FY2025, audited)
Justified price-to-book value per share at the anchor
Justified P/B multiple
Bear construction
Bull construction
The bear leg holds the same Gordon identity as base and bull:
(ROE_bear - g_bear)/(k_bear - g_bear).

Value
2,056
6.50x
3,169
16,534
0.8405
(414)
3.60
3.01
4.19
11.65x
15.02x
10.55x

Value
23.4%
7,869
2,058
720
1,338
129.6
ing carries the JV at carrying value in every lens
0.267
3.45
2.61
4.30

Value
1.80
4.13
2.33x
3.18
4.71

DCF — cost of capital, glide, waterfall, terminal

Everything here is built, not pasted.

Cost of capital — explicit window
AED government bond yield
less the observed auction spread over US Treasuries
Net risk-free rate
Beta
Equity risk premium
Cost of equity
Marginal cost of debt
Tax rate
Cost of debt after tax
Market capitalisation (AED mn)
Gross debt (audited)
Debt weight (gross)
Cost of capital — explicit window

Cost of capital — terminal
Terminal risk-free rate
Terminal cost of equity
Terminal cost of debt after tax
Terminal debt weight
Cost of capital — terminal

Glide & discounting	**FY26E**
Cost-of-debt path	5.40%
Glide fraction (path progress)	0.0000
Forward cost of capital	9.21%
Cumulative discount factor	0.9156

FCFF waterfall (AED mn)	**FY26E**
Revenue	7,869
EBITDA incl. fees and other income	1,876
less depreciation & amortisation	720
EBIT	1,156
NOPAT (EBIT x (1 - tax))	982
add back depreciation & amortisation	720
less owned capex + pre-delivery payments	2,000
Working capital balance	(5,036)
less change in working capital	151
Free cash flow to the firm	**(624)**
Discount factor	0.9156
PV of FCFF	**(571)**
less leased-fleet additions (gross right-of-use value)	175
Fleet assets roll-forward	10,126

Invested capital (fleet + intangibles + working capital)	6,452

Terminal block
Terminal NOPAT (FY2031E)
Terminal return on invested capital
Reinvestment rate = growth / return on capital
Terminal value
PV of terminal value
PV of explicit years
Enterprise value of the airline
Terminal value share of enterprise value

Equity attributable (from the SOTP Bridge)
Per share at 31-Dec-2025
Anchor accretion factor (at the cost of equity)
Per share, whole equity rolled at Ke (single-rate view)
Cash-leg accretion factor (deposit yield)
Fair value per share at the anchor (split roll — the published figure)

4.48%
0.04%
4.44%
1.09
4.87%
9.73%
5.50%
15.0%
4.68%
24,454
2,781.4
10.21%
9.21%

4.00%
9.16%
4.25%
10.0%
8.67%

FY27E	FY28E	FY29E	FY30E
5.20%	5.10%	5.00%	5.00%
0.5000	0.7500	1.0000	1.0000
8.94%	8.80%	8.67%	8.67%
0.8405	0.7725	0.7109	0.6542

FY27E	FY28E	FY29E	FY30E
8,451	9,257	10,095	10,952
2,286	2,419	2,557	2,680
810	900	980	1,060
1,476	1,519	1,577	1,620
1,255	1,291	1,341	1,377
810	900	980	1,060
1,900	1,900	1,950	2,000
(5,409)	(5,925)	(6,461)	(7,009)
(373)	(516)	(536)	(549)
187	**457**	**557**	**635**
0.8405	0.7725	0.7109	0.6542
157	**353**	**396**	**416**
350	350	350	350
11,566	12,916	14,236	15,526

7,520	8,354	9,138	9,879
1,411.2			
14.28%			
17.50%			
18,876			
12,348			
751			
13,099			
94.3%			
16,948			
3.63			
1.0573			
3.54			
1.0244			
3.51			

Income statement — 3 years audited + 5 years forecast

FY2023 as reported; FY2024 as restated in the FY2025 filing; forecast chains from the Segments uni

	FY2023	FY2024
Revenue	6,000	6,766
Direct operating costs (cash)	3,726	4,588
Administrative expenses (cash)	299.5	241.5
Selling & marketing	88.8	103.8
EBITDA	**1,886**	**1,833**
Depreciation & amortisation	647	649
Operating profit (EBIT)	**1,239**	**1,184**
Other income	113.5	131.7
Finance income	210.0	250.7
Finance costs	102.5	82.1
Share of JV and associate profit	88.1	124.8
Profit before tax (before the JV share, forecast)	**1,548**	**1,609**
Income tax	-	141.5
Profit for the year	**1,548**	**1,468**
Minorities	0.56	0.64
Attributable to owners	1,547	1,467
Earnings per share (AED)	0.33	0.31
EBITDA margin	31.4%	27.1%

The forecast income statement carries EBIT excluding fees/other income on row 11; the DCF taxes EBIT including that recurring line (row 12), exactly as the study text describes.

t build.

FY2025	FY26E	FY27E	FY28E	FY29E	FY30E
7,788	7,869	8,451	9,257	10,095	10,952
5,506	5,801	5,967	6,632	7,320	8,041
276.2	290.0	304.5	319.7	335.7	352.5
113.6	114.9	123.4	135.2	147.4	159.9
1,891	**1,663**	**2,056**	**2,171**	**2,291**	**2,398**
622	720	810	900	980	1,060
1,270	**943**	**1,246**	**1,271**	**1,311**	**1,338**
197.1	212.9	229.9	248.3	265.7	281.7
240.8	213.1	118.2	70.5	33.5	3.8
66.7	83.5	85.7	89.8	93.3	98.8
190.0	193.8	228.7	269.8	310.3	347.5
1,831	**1,285**	**1,509**	**1,500**	**1,517**	**1,525**
202.1	192.8	226.3	225.0	227.6	228.7
1,629	**1,286**	**1,511**	**1,545**	**1,600**	**1,643**
0.26	0.21	0.24	0.25	0.26	0.26
1,628	**1,286**	**1,511**	**1,544**	**1,600**	**1,643**
0.35	0.28	0.32	0.33	0.34	0.35
24.3%	21.1%	24.3%	23.4%	22.7%	21.9%

Balance sheet — 3 years audited + roll-forward

FY2023 column is the restated 1-Jan-2024 position from the FY2025 filing.

	FY2023	FY2024
Fleet assets (PP&E + right-of-use + aircraft advances)	6,415	6,709
Intangible assets		
Other non-current assets		
Inventories	49	53
Trade and other receivables (current)	859	824
Cash and fixed deposits	5,246	5,320
Borrowings + lease liabilities	2,279	2,101
Payables, deferred income, provisions (operating)	4,826	5,085
Equity attributable to owners	7,534	7,950
Working capital (from the lines above)	(3,918)	(4,208)
Net debt (negative = net cash)	(2,967)	(3,218)
Net debt / EBITDA	-1.57x	-1.76x

The forecast rolls fleet assets (capex less depreciation plus leased-fleet additions), working capital (ratio x revenue), net debt (opening less retained cash generation plus dividends) and equity (profit less dividends). Deferred income, maintenance provisions and staff benefits are inside working capital — never double-counted against net debt.

FY2025	FY26E	FY27E	FY28E	FY29E	FY30E
8,671	10,126	11,566	12,916	14,236	15,526
1,362	1,362	1,362	1,362	1,362	1,362
97					
896					
5,199					
2,781					
6,180					
8,409	8,295	8,406	8,550	8,750	8,993
(5,187)	(5,036)	(5,409)	(5,925)	(6,461)	(7,009)
(2,417)	(504)	681	1,640	2,534	3,380
-1.28x	-0.30x	0.33x	0.76x	1.11x	1.41x

Cash flow — FCFF and the financing walk

Links to the DCF waterfall; net debt rolls forward.

FCFF build (AED mn)	FY26E
NOPAT	982
add depreciation & amortisation	720
less owned capex + pre-delivery payments	2,000
less change in working capital	151
Free cash flow to the firm	**(624)**
less leased-fleet additions (gross)	175
Financing walk (AED mn)	**FY26E**
Opening net debt (negative = net cash)	(2,417)
Finance income (deposit yield x opening cash and deposits)	213.1
Finance costs (booked rate x average gross debt)	83.5
Dividends paid (payout, floored at 30 fils)	1,400
Closing net debt	**(504)**
Opening gross debt (borrowings + leases)	2,781
Closing gross debt (+ new leases + aircraft loans - amortisation)	2,606

Audited history (AED mn)	FY2023
Net cash from operating activities	2,304
Fleet capex incl. aircraft advances	378
Dividends paid to owners	700
Depreciation & amortisation	647

FY27E	FY28E	FY29E	FY30E
1,255	1,291	1,341	1,377
810	900	980	1,060
1,900	1,900	1,950	2,000
(373)	(516)	(536)	(549)
187	**457**	**557**	**635**
350	350	350	350

FY27E	FY28E	FY29E	FY30E
(504)	681	1,640	2,534
118.2	70.5	33.5	3.8
85.7	89.8	93.3	98.8
1,400	1,400	1,400	1,400
681	**1,640**	**2,534**	**3,380**
2,606	2,586	2,546	2,636
2,586	2,546	2,636	2,706

FY2024	FY2025
2,279	2,860
580	2,328
933	1,167
649	622

Summary financials — history and forecast in one grid

	FY2023	FY2024
Revenue (AED mn)	6,000	6,766
Revenue growth		12.8%
EBITDA (AED mn)	1,886	1,833
EBITDA margin	31.4%	27.1%
Attributable profit (AED mn)	1,547	1,467
Earnings per share (AED)	0.33	0.31
Dividend per share (AED)	0.20	0.25
Net debt (AED mn, negative = net cash)	(2,967)	(3,218)
Invested capital (AED mn)		
Return on invested capital		
Return on equity (attributable, opening equity)		
Passengers (millions)	10.11	11.22
Revenue per passenger (AED, total revenue basis)	593.4	603.0

FY2025	FY26E	FY27E	FY28E	FY29E	FY30E
7,788	7,869	8,451	9,257	10,095	10,952
15.1%	1.0%	7.4%	9.5%	9.0%	8.5%
1,891	1,663	2,056	2,171	2,291	2,398
24.3%	21.1%	24.3%	23.4%	22.7%	21.9%
1,628	1,286	1,511	1,544	1,600	1,643
0.35	0.28	0.32	0.33	0.34	0.35
0.30	0.30	0.30	0.30	0.30	0.30
(2,417)	(504)	681	1,640	2,534	3,380
	6,452	7,520	8,354	9,138	9,879
	15.2%	16.7%	15.5%	14.7%	13.9%
	15.3%	18.2%	18.4%	18.7%	18.8%
13.06	12.85	13.95	15.15	16.35	17.55
596.3	612.4	605.8	611.0	617.4	624.0

Monte Carlo price map — 50,000 simulated paths

Whole-model engine output: pasted, does not redraw with drivers.

Horizon	1 month
Check date	2026-09-07
5th percentile (AED)	4.47
25th percentile	4.93
Median	5.23
75th percentile	5.56
95th percentile	6.14
Probability of finishing above spot	49.2%
Probability of +10% or better at the check date	14.4%
Probability of -10% or worse at the check date	12.9%
Probability of TOUCHING +10% at any point	24.2%
Probability of TOUCHING -10% at any point	21.2%

Struck at AED 5.24 on 2026-08-07 with a 5.7% trailing dividend yield netted from the drift. How much to trust these bands: over the stock's full history the simulation's probability bands beat a naive random-walk benchmark by a small margin on a standard probabilistic accuracy score (+0.7% over the full 58-window history, 2012-2026), and over the recent four-plus years the two are statistically indistinguishable — the bands are honest, not clairvoyant. Realised outcomes landed inside the 80% band 79% of the time and inside the 90% band 86% of the time over that same full history — ONE window set, quoted identically in the study.

3 months
2026-11-09
3.96
4.71
5.22
5.79
6.89
49.0%
25.9%
25.5%
48.6%
46.2%

Sensitivity — each cell is a complete revaluation

Whole-model re-runs: pasted, do not redraw with drivers.

Fair value per share: terminal cost of capital x terminal growth

terminal cost of capital \ terminal growth	1.5%	2.0%
6.67%	4.56	4.83
7.67%	3.84	4.00
8.67%	3.33	3.43
9.67%	2.94	3.00
10.67%	2.64	2.68

Fair value per share: explicit x terminal cost of capital

explicit \ terminal	6.67%	7.67%
7.21%	5.30	4.31
8.21%	5.23	4.25
9.21%	5.15	4.19
10.21%	5.08	4.13
11.21%	5.01	4.07

Beta

	0.85	0.95
Fair value per share (AED)	4.26	3.92

Fuel cost per passenger (multiplier on the base path)

	0.85	0.925
Fair value per share (AED)	4.77	4.14

Passenger volumes (multiplier)

	0.9	0.95
Fair value per share (AED)	2.84	3.17

Fare per passenger (multiplier)

	0.94	0.97
Fair value per share (AED)	2.03	2.77

Fleet capex (multiplier)

	0.8	0.9
Fair value per share (AED)	4.05	3.78

JV network value in the bridge (AED mn)

	363	1,520
Fair value per share (AED)	3.51	3.77

Working capital / revenue

	-58%	-61%
Fair value per share (AED)	3.34	3.43

Published scenario driver vectors — type these into the Scenario cells on

Scenario	Passenger x	Fare x
High-fuel alternative	1.00	1.00
Bear	0.94	0.97
Bull (JV capitalised)	1.05	1.03

The bull additionally switches the SOTP Bridge to the JV-capitalised row. Every

2.5%	3.0%	3.5%
5.15	5.56	6.10
4.19	4.41	4.69
3.54	3.67	3.83
3.07	3.15	3.25
2.72	2.77	2.83

8.67%	9.67%	10.67%
3.64	3.16	2.79
3.59	3.11	2.76
3.54	3.07	2.72
3.49	3.03	2.69
3.45	2.99	2.65

1.086	1.2	1.35
3.54	3.27	2.98

1.0	1.075	1.15
3.51	2.88	2.25

1.0	1.05	1.1
3.51	3.85	4.19

1.0	1.03	1.06
3.51	4.25	4.99

1.0	1.15	1.3
3.51	3.11	2.71

2,280	2,850	3,800
3.93	4.06	4.27

-64%	-67%	-70%
3.51	3.60	3.68

a Assumptions to reproduce each pasted output LIVE in this workbook

Fuel path	Capex x	Rate shift	Terminal g	Output (AED/sh)
alternative (sw	1.00	0bp	2.5%	1.86
alternative (sw	1.15	+100bp	1.5%	0.47
base (switch=(	0.90	-100bp	3.5%	7.23

other figure in the workbook reprices live when the Scenario cells change.

Per-share figures and ratios — all formulas

Per share (AED)	FY2025
Earnings per share	0.35
Dividend per share	0.30
Book value per share	1.80
Free cash flow to the firm per share	
Net cash per share	0.52

At the spot price	
Trailing price/earnings	
Forward price/earnings (FY2027E)	
Price / book (FY2025)	
EV / EBITDA (trailing, incl. fees)	
Dividend yield (FY2025 dividend at spot)	

FY2026E	FY2028E	FY2030E
0.28	0.33	0.35
0.30	0.30	0.30
1.78	1.83	1.93
(0.13)	0.10	0.14

Value
15.02x
16.19x
2.91x
10.55x
5.7%

Peer frame — cross-check only, never a build source

Peer figures from public reporting and reputable aggregators, as dated; Air Arabia rows are live for

Carrier	Trailing P/E	EV/EBITDA
Ryanair	12.60x	7.81x
easyJet	12.39x	3.48x
IndiGo	n/m	11.09x
Pegasus	8.90x	6.58x
Wizz Air	n/m	n/m
Jazeera Airways	17.70x	n/m
Air transport sector (Damodaran, Jan-2026)	12.87x	7.58x
Air Arabia (live formulas)	**15.02x**	**10.55x**

Justified multiples adopted: EV/EBITDA 7.5x (sector centre), P/E 13x (between the mature European carriers ~12.5x and Jazeera ~17.7x). Air Arabia trades above the peer set on both trailing multiples — the relative lens question is whether its net cash, franchise margin and growing JV network justify the premium.

nulas.

Basis / date
TTM USD ADR, 09-Aug-2026 (aggregator)
TTM GBP, 07-Aug-2026 (aggregator)
TTM INR, 09-Aug-2026; P/E n/m (FX loss year)
TRY statutory basis — treat with caution
n/m — near-zero FY2026 earnings
computed: mcap / FY2025 net, KWD, 07-Aug-2026
profitable firms / positive-EBITDA firms
FY2025 audited, spot 07-Aug-2026